

US-China climbdown in trade war – a welcome pause

The United States and the People's Republic of China have announced a pause in the ongoing trade war between the two countries. The announcement came after two days of high-level **negotiations** in Geneva. The two **economies** have been locked in a tariff war since February 1, when US President Donald Trump **imposed** a 10 per cent tariff on China, as well as 25 per cent each on Mexico and Canada, **citing** the sale of fentanyl in the US. **Reportedly**, in the US, in 2021, **deaths** due to overdose of opioids **surpassed** 1,00,000, with 67 per cent of those deaths involving fentanyl. But Trump wanted to **slap** tariffs for other reasons as well, such as the US's large **trade deficit vis-à-vis** the rest of the world and the loss of manufacturing industry inside the US. For its part, China started **retaliating** with **counter-tariffs** of its own. This process **escalated** quickly after Trump's announcement of **reciprocal tariffs** on April 2. By April 10, the situation had **worsened** to a point where the US had imposed 145 per cent tariffs on China and China had retaliated with 125 per cent tariffs on the US.

Effectively, these tariffs meant a trade **embargo** with terrible economic consequences not just for the two countries involved but also for global supply chains. Both the US and China were **staring at** a deep economic **slowdown**, **leading to** widespread job losses and **erosion** in business confidence. **The US, in particular**, **was** already on its way, according to many experts and investors, to a **recession**. The US GDP **contracted** by 0.3 per cent in the first quarter of 2025, without even the worst effects of high tariffs **coming into play**. For China, too, the **costs** of a **stand-off** **were prohibitive given** its economy's **over-reliance** on exports. The pause announced on Monday pulls the two economies back from that **brink**. There was evidence that negotiators on both sides realised the high global economic costs of a trade war between the two with the joint statement starting with the following words: "Recognising the importance of their **bilateral** economic and trade relationship to both countries and the global economy..."

While this is a welcome pause, it is important to note that this is not yet a trade deal. **What** the US and China have managed over the weekend **is to undo** the **escalation** that happened since April 2. Both countries cut their respective tariffs by 115 per cent. That means now both countries have 10 per cent tariffs on imports from each other; the US has an additional 20 per cent, which was connected to the fentanyl issue and **predated** the "Liberation Day" tariffs on April 2. This means US consumers will continue to face a **steep** 30 per cent tariff while the two countries **negotiate** an actual deal. Clearly, **a lot of** economic damage **has** been avoided, but this situation is still **precariously** balanced with significant costs to consumers and producers on a daily basis.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

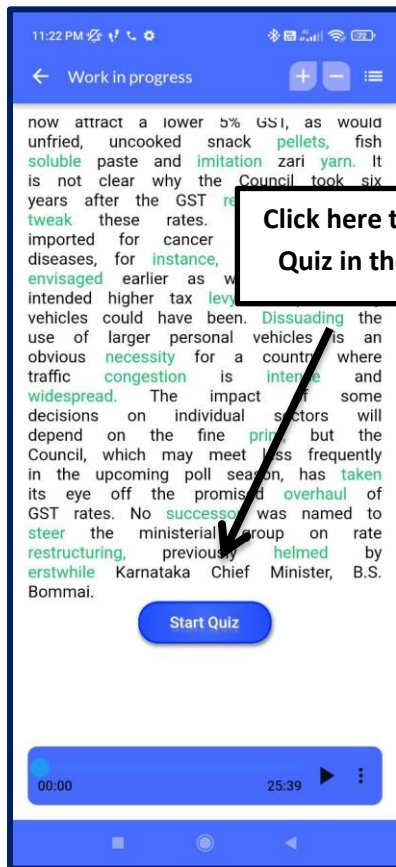
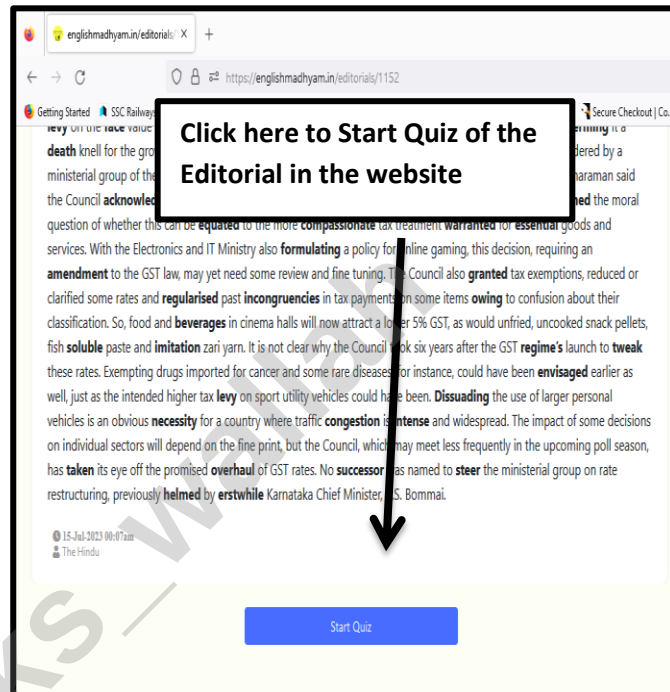
1. **Climbdown** (noun) – retreat, backtrack, withdrawal, concession, reversal पीछे हटना
2. **Negotiation** (noun) – discussion, dialogue, talks, bargaining, consultation वार्ता
3. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ
4. **Impose** (verb) – enforce, levy, inflict, apply, mandate थोपना
5. **Cite** (verb) – mention, refer to, quote, invoke, allude to हवाला देना
6. **Reportedly** (adverb) – allegedly, supposedly, apparently, as claimed, according to reports कथित रूप से
7. **Surpass** (verb) – exceed, outdo, go beyond, transcend, top पार करना
8. **Slap** (verb) – impose, place, put on, inflict, enforce (अचानक) लागू करना
9. **Trade deficit** (noun) – import surplus, negative balance, excess imports, trade imbalance, export shortfall व्यापार घाटा
10. **Vis-à-vis** (preposition) – in relation to, compared with, with respect to, regarding, against की तुलना में
11. **Retaliate** (verb) – respond, strike back, take revenge, counterattack, reciprocate बदला लेना
12. **Counter-tariff** (noun) – retaliatory tax, reciprocal duty, return levy, response tariff, opposing tax प्रतिशोधार्थक शुल्क
13. **Escalate** (verb) – intensify, increase, heighten, worsen, amplify बढ़ना
14. **Reciprocal tariff** (noun) – mutual duty, return tax, matching tariff, retaliatory charge, two-way levy पारस्परिक शुल्क
15. **Worsen** (verb) – deteriorate, decline, degrade, intensify, aggravate और बिगड़ना
16. **Embargo** (noun) – ban, restriction, blockade, prohibition, moratorium व्यापार प्रतिबंध
17. **Stare** (at) (verb) – face, confront, look at intently, be threatened by, be on edge of घूरना / सामना करना
18. **Slowdown** (noun) – slump, downturn, decline, deceleration, recession मंदी
19. **Lead** (to) (verb) – result in, cause, bring about, give rise to, produce कारण बनना
20. **Erosion** (noun) – decline, deterioration, weakening, wearing away, depletion ह्रास / क्षरण
21. **In particular** (phrase) – especially, specifically, notably, chiefly, particularly विशेष रूप से

22. **Recession** (noun) – downturn, slump, depression, contraction, slowdown आर्थिक मंदी
23. **Contract** (verb) – shrink, reduce, decline, lessen, decrease सिकुड़ना / घट जाना
24. **Come into play** (phrase) – become relevant, start operating, be activated, begin to function, be effective प्रभाव में आना
25. **Stand-off** (noun) – deadlock, impasse, stalemate, standoff, gridlock गतिरोध
26. **Prohibitive** (adjective) – excessive, steep, exorbitant, extreme, unaffordable अत्यधिक / रोक लगानेवाला
27. **Given** (preposition) – considering, taking into account, due to, in light of, because of को देखते हुए
28. **Over-reliance** (noun) – dependence, overdependence, too much trust, excessive reliance, undue dependence अत्यधिक निर्भरता
29. **Brink** (noun) – edge, verge, threshold, cusp, point कगार
30. **Bilateral** (adjective) – two-sided, mutual, joint, reciprocal, involving both sides द्विपक्षीय
31. **Undo** (verb) – reverse, cancel, revoke, annul, negate पूर्ववत करना
32. **Escalation** (noun) – intensification, increase, amplification, aggravation, expansion वृद्धि / उग्रता
33. **Predate** (verb) – come before, precede, happen earlier, anticipate, exist before पहले का होना
34. **Steep** (adjective) – high, excessive, sharp, inflated, unreasonable तीव्र
35. **Negotiate** (verb) – bargain, discuss, mediate, settle, deliberate सौदा करना
36. **Precariously** (adverb) – dangerously, insecurely, shakily, unstably, hazardously अस्थिर रूप से / संकट में

Summary of the Editorial

1. The US and China have announced a pause in their escalating trade war following two days of high-level talks in Geneva.
2. The trade conflict began on February 1, when former US President Donald Trump imposed a 10% tariff on Chinese imports.
3. Additional 25% tariffs on Mexico and Canada were also announced, citing fentanyl-related opioid overdose deaths in the US.
4. Trump's tariffs were also aimed at reducing the US trade deficit and reviving domestic manufacturing.
5. China retaliated with counter-tariffs, escalating tensions further by April 2.
6. By April 10, tariffs had soared to 145% by the US and 125% by China, nearing a full-scale trade embargo.
7. The economic consequences were severe, with both countries facing the threat of major slowdowns.
8. The US GDP shrank by 0.3% in the first quarter of 2025, raising fears of an impending recession.
9. China also faced major risks due to its heavy reliance on exports, making prolonged conflict unsustainable.
10. The pause in hostilities is a step back from economic disaster for both nations and the global economy.
11. The joint statement emphasized the importance of the US-China trade relationship to global stability.
12. However, this is not a formal trade deal—only a rollback of escalated tariffs since April 2.
13. Both countries have cut tariffs by 115%, returning to a baseline of 10% tariffs on each other's imports.
14. The US continues to impose an additional 20% fentanyl-related tariff, keeping overall US tariffs at 30%.
15. Although the immediate threat has eased, the situation remains fragile, with ongoing economic costs and uncertainty until a full trade agreement is reached.

Practice Exercise: Banking Pattern Based

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